

Law of Equity and Trusts (EQT1)

Module 5: Trusteeship and Duties of Trustees

Lesson 3: Powers of Trustees and Breach

Lesson Notes

KMVTECHUG

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Powers of Trustees

Administrative powers concern management of property (sell, lease, insure, employ agents, invest). Dispositive powers concern disposition of beneficial interests (appointment, advancement, maintenance). Powers come from the trust instrument and the Trustees Act Cap 270. All powers must be exercised for proper purposes and with due care.

Breach of Trust

Breach is any failure to perform a duty or improper exercise of a power — deliberate or negligent. The trustee is personally liable to restore the fund or compensate for loss. Honesty alone does not excuse a failure to meet the required standard.

Defences and Relief

Beneficiary consent (fully informed), limitation and laches may bar claims. The court may relieve a trustee who acted honestly and reasonably and ought fairly to be excused under statutory provisions such as those in Cap 270.

Key idea: Personal liability is the starting point; proprietary remedies (Module 6) matter especially on insolvency.

Key Takeaways

- Administrative vs dispositive powers.
- Breach leads to personal liability to restore or compensate.
- Consent, delay and statutory relief may assist a trustee.
- Module 6 develops proprietary remedies and third-party liability.

Quick Revision Checklist

☐ I can distinguish administrative and dispositive powers.

☐ I can define breach of trust.

☐ I know honesty does not automatically excuse breach.

☐ I can outline statutory relief under Cap 270.